Traditional vs. Ultra-Low-Cost Airlines: Delta Air Lines and Frontier Group Holdings

Investor / Analyst Report | Relative investment comparison

Reporting boundary: financial statements through June 30, 2026 (no Q3 results); share-price reference date October 7, 2026. Monetary amounts are USD; tables in millions unless noted.

Investment question and judgment

Does Frontier's ultra-low-cost model offer a more attractive risk-adjusted equity investment than Delta's full-service network model? **Provisional relative recommendation: favor Delta (DAL) over Frontier (ULCC)** for an investor prioritizing financial resilience. This is neither a claim of absolute undervaluation nor an unconditional buy recommendation. [1–8]

Investment decision at a glance

Dimension	Delta (DAL)	Frontier (ULCC)
Business approach	Network carrier; premium service, international network, loyalty revenue	Ultra-low-cost carrier; unbundled fares, ancillary revenue, largely leased fleet
FY2025 GAAP operating margin	9.2%	- 4.0%
H1 2026 GAAP operating margin	6.6%	- 16.7%
H1 2026 net result	+$1.315B	- $362M
H1 2026 cash from operations	+$4.027B	+$191M
Investment characterization	Established earnings; cyclical and capital-intensive	Speculative recovery; material operating and lease exposure

The same-period normalized ratios and financing-adjusted valuation comparisons appear in Sections 2–4. Reported dollar figures and calculated margins come from the companies' filings. [1–4]

What would overturn this view?

Frontier may have greater equity upside if its fleet restructuring yields repeatable profits at substantially lower unit costs. Delta's current relative appeal could erode if premium demand weakens, fuel and labor inflation compress margins, or its share price overstates sustainable earnings. The objective is a disciplined comparison, not a prediction of stock returns.

Method and comparison rules

Compare the same six-month period across airlines; use H1 2025 to H1 2026 for year-over-year performance; use trailing-12-month rather than stale annual sales for October 2026 multiples; and scale cash and financial obligations rather than interpreting dollar totals as direct evidence of superiority. Where business models or accounting treatments limit comparability, retain a qualification instead of manufacturing precision.

1 | BUSINESS MODELS AND OPERATING ECONOMICS

Delta operates premium and main-cabin products, international routes, loyalty relationships and related businesses. Frontier emphasizes low initial fares, optional fees and a largely leased fleet. The economic question is whether each airline earns enough per unit of capacity to cover its own costs—not whether the company with the lower absolute CASM is necessarily superior. [1,2,5,6]

Q2 2026 unit-economics test

Reported GAAP metric	Delta	Frontier
Revenue (USD M)	$19,757	$1,279
Operating income (USD M)	$1,864	- $97
Operating margin	9.4%	- 7.6%
Reported revenue / ASM	25.11¢	11.52¢
Reported cost / ASM	22.74¢	12.39¢
Revenue less cost / ASM	+2.37¢	- 0.87¢

Revenue and cost per available seat mile (ASM) are the companies' reported consolidated unit measures. Route lengths, stage length, international mix, cabin configuration and Delta's refinery activity limit their direct comparability. The spread within each company provides the cleaner signal of reported unit economics. [1,2,5,6]

Revenue structure: why the models differ

Delta reported roughly $6.92B of premium passenger revenue in Q2 2026, against $6.85B of main-cabin revenue, alongside important loyalty-related revenue. Frontier reported about $131.46 total revenue per passenger: $63.04 fare and $68.42 ancillary revenue. Each strategy monetizes capacity differently; the data do not isolate the causal effect of business model on margin. [5,6]

Analyst interpretation

Frontier's leaner cost base is a potential competitive advantage, but in Q2 2026 revenue per ASM still failed to cover cost per ASM. Delta's higher costs were more than covered by higher realized revenue. Do not equate higher absolute

revenue per seat mile with more effective management: it may reflect a different network, trip length, passenger mix and business perimeter.

2 | MATCHED-PERIOD EARNINGS AND PROFITABILITY

Comparing a full year with half a year can confound seasonality. The table below holds the six-month window constant, then compares how each airline changed relative to the same period in 2025. Figures and margins derive from the June 2026 10-Q statements of operations. [1,2]

GAAP measure	Delta H1 2025	Delta H1 2026	Frontier H1 2025	Frontier H1 2026
Revenue (USD M)	30,688	35,611	1,841	2,271
Operating income (USD M)	2,671	2,365	- 121	- 380
Operating margin	8.7%	6.6%	- 6.6%	- 16.7%
Net result (USD M)	2,370	1,315	- 113	- 362
Net margin	7.7%	3.7%	- 6.1%	- 15.9%
Revenue growth YoY	—	+16.0%	—	+23.4%

Despite higher year-over-year revenue at both airlines, H1 2026 margins deteriorated. Frontier's revenue increased faster, but both operating and net losses widened. Delta remained profitable despite a marked margin decline. The distinct starting profitability levels matter more than growth alone. [1,2]

Why adjusted earnings alone can mislead

Frontier reported $70M of Q2 2026 aircraft early-return-related charges. Excluding these gives an illustrative roughly $27M operating loss versus $97M GAAP operating loss. Such exclusions can clarify the quarter's operating trend, but the restructuring has real consequences and costs. Delta also reports adjusted measures; issuer-specific definitions and non-operating investment gains make a simplistic adjusted or GAAP P/E reading incomplete. [1,2,5,6]

Turnaround sensitivity—not a forecast

A $27M adjusted quarterly operating gap equals approximately 2.1% of Frontier's $1,279M Q2 revenue. If operating expenses were unchanged, that increment in revenue would close the adjusted deficit. Real extra flying or sales generally entail incremental costs, so the calculation is a scale illustration only. It does not predict how quickly profitability can recover.

3 | FINANCIAL OBLIGATIONS AND CASH-FLOW QUALITY

Dollar comparisons should be read alongside business scale. The lease mix is especially important: conventional debt alone significantly understates contractual financing exposure for an airline that leases most of its aircraft. [1,2]

June 30, 2026 ($M)	Delta	Frontier
Cash and cash equivalents	4,665	955
Debt and finance lease liabilities	13,952	511
Operating lease liabilities	6,032	4,736
Total debt + operating leases	19,984	5,247
Cash / debt + operating leases	23.3%	18.2%
Operating lease share of total	30.2%	90.3%
Stockholders' equity	21,815	136

Combined liabilities and percentages are analytical calculations, not standardized credit ratios; operating leases differ legally and economically from borrowings. Cash/combined obligations is a coverage snapshot, **not** a measure of near-term liquidity sufficiency, because maturities differ. Frontier's equity base is thin, but book equity is not cash. [1,2]

Normalize cash flow—and still examine its source

H1 2026	Delta	Frontier
Operating cash flow (USD M)	4,027	191
Operating cash flow / revenue	11.3%	8.4%
Capital expenditure (USD M)	2,658	25
CFO less capex (USD M)	1,369	166

CFO as a percentage of revenue is more meaningful than comparing absolute dollars across airlines of very different size. However, it is still not fully comparable: Delta purchases more aircraft while Frontier largely leases them. Simple CFO minus capital expenditure must **not** be presented as like-for-like distributable cash flow. [1,2]

Frontier reported $191M CFO despite a $362M net loss; a $503M increase in other liabilities materially contributed to its cash-flow reconciliation. This partly reflects timing, accruals and advance receipts rather than verified recurring operating profitability. Delta's $4.027B CFO accompanies positive earnings but meaningful reinvestment needs. [1,2]

4 | COMPARABLE-PERIOD EQUITY VALUATION

Equity values use share prices on October 7, 2026, while financial statement inputs stop at June 30. Closing prices were $82.97 for DAL and $6.07 for ULCC;

estimated market capitalizations use approximately 657.6M and 230.2M shares, respectively. Shares outstanding may differ slightly from the trading date. [1,2,7,8]

TTM rather than FY2025-only sales

TTM revenue = FY2025 revenue + H1 2026 revenue - H1 2025 revenue. This sets each revenue denominator to the same July 2025–June 2026 window. [1–4]

Valuation measure	Delta	Frontier
FY2025 sales ($B)	63.364	3.724
H1 2026 sales less H1 2025 ($B)	+4.923	+0.430
TTM sales to June 2026 ($B)	68.287	4.154
Approx. market cap, Oct. 7 ($B)	54.56	1.40
Price / TTM sales	0.80×	0.34×
Simplified lease-inclusive EV ($B)	69.87	5.69
Lease-inclusive EV / TTM sales	1.02×	1.37×

Simplified EV = equity value + debt and finance leases + operating lease liabilities - cash. This excludes other potential debt-like claims, and lease-inclusive EV/sales is **not** a standardized valuation measure or a substitute for forward cash-flow valuation. [1–4,7,8]

What these apparently contradictory multiples mean

Frontier appears cheaper on equity price / sales (0.34× vs. 0.80×). Including contractual lease liabilities reverses the relative EV/sales ranking (1.37× vs. 1.02×). Neither ratio proves undervaluation or overvaluation: sales are not earnings, lease structures differ, and reported Delta sales include non-airline revenue. The reversal does expose the weakness of comparing equity valuations without financing obligations.

Profit-based methods have asymmetric usefulness

Delta has positive trailing earnings and an indicative trailing GAAP P/E near 13.8×, but earnings may reflect volatile non-operating investment gains. Frontier's trailing earnings are negative, making positive P/E comparison meaningless. A credible intrinsic-value ranking would require forward margin scenarios, aircraft lease schedules and an explicit discount rate; those exceed this report's scope.

5 | RISKS, DECISION RULE AND CONCLUSION

Risk or limitation	What could alter the judgment
Fuel, demand and labor inflation	Both businesses are cyclical; review GAAP margins and unit-revenue trends under weaker travel demand.
Airline-model differences	Routes, flight lengths, premium mix and Delta's refinery activity prevent an experimental CASM comparison.
Frontier restructuring	Sustained GAAP profitability and cash flow less dependent on accrued liabilities would strengthen the recovery thesis.
Leased versus owned assets	Lease-adjusted obligations improve balance-sheet visibility but do not equate all airline financing risks.
Valuation uncertainty	Relative sales multiples do not substitute for an intrinsic-value model; share prices can move independently of near-term profit.

Alternative investment case: why someone might choose Frontier

An investor comfortable with substantial downside risk could rationally prefer Frontier if the equity market has underestimated recovery from unusually weak operating margins. An improvement in pricing, ancillary revenue or fleet utilization might materially increase equity value from a low base. Yet strong revenue growth alone did not prevent widening H1 2026 losses, and fleet lease commitments create continued fixed financial demands. The case is credible, but unproven.

Recommended relative position

Prefer Delta over Frontier for a risk-conscious investor choosing between these two securities at the specified reference valuations. Delta generated positive H1 operating and net margins, stronger recurring-looking operating cash generation and a larger book-equity cushion. Frontier's unit-cost strategy offers upside but has not yet demonstrated sustainable profit in the period evaluated. The financing-adjusted valuation comparison also undercuts a simple "Frontier is cheaper" argument.

This is a **relative preference**, not a claim that Delta is fairly valued at $82.97 or a promise it will outperform. Both operating returns and current prices matter. Revisit this judgment if Frontier demonstrates sustained positive GAAP margins, operating cash flow no longer driven chiefly by liability timing, or if Delta's premium-demand economics weaken or its valuation expands without earnings support.

Limits of professional confidence

The selection covers two U.S.-listed airlines, not the whole sector; it uses Q2 2026 financial statements by design, not subsequently reported Q3 performance. The simplified ratios do not model forward profits, debt and

lease maturities or a full cost of capital. The period-matched trend and trailing-sales comparisons strengthen analytical fairness but cannot eliminate fundamental business-model differences. Important source figures and liability classifications were independently checked against the SEC filings. [1–8]

6 | REFERENCES

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[3] Delta Air Lines, Form 10-K, year ended December 31, 2025
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[5] Delta Air Lines, Q2 2026 results and supplemental measures
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[8] StockAnalysis, ULCC historical share prices
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References are citation-only. There is no supplemental substantive analysis on this page.